



Enhancing Profitability and Cash Flow at a Grocery Store

A Data-Driven Approach to Credit, Financial and Margin Management

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ORGANIZATION BACKGROUND & BUSINESS PROBLEM

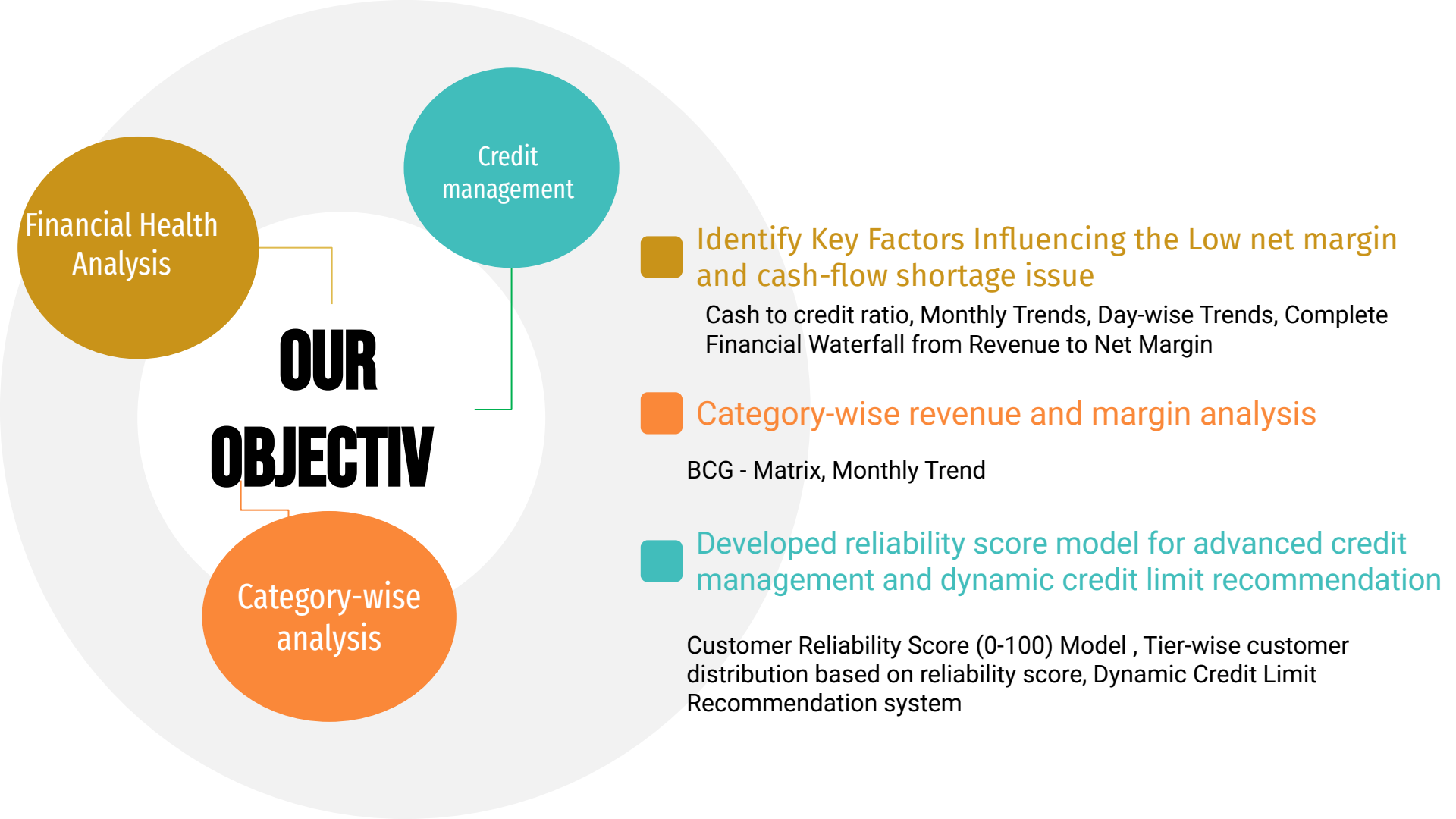
Organization:

- Faiz General Store, a family-owned grocery retail shop in Prayagraj.
- B2C model serving daily essentials to local households.
- With Around Rs 30 lakhs yearly revenue



Business Problem:

- **Profit Leak:** Stable revenue but a critically low 9.45% net margin.
- **Cash Flow Crisis:** Declining Cash-to-Credit ratio (from 3.42 to 1.86), now in the "warning zone."
- **"Volume vs. Value Trap":** Business is focused on low-margin Staples (57% of revenue), and ignoring high margin categories.



OUR OBJECTIV

Financial Health
Analysis

Credit
management

Category-wise
analysis

■ Identify Key Factors Influencing the Low net margin and cash-flow shortage issue

Cash to credit ratio, Monthly Trends, Day-wise Trends, Complete Financial Waterfall from Revenue to Net Margin

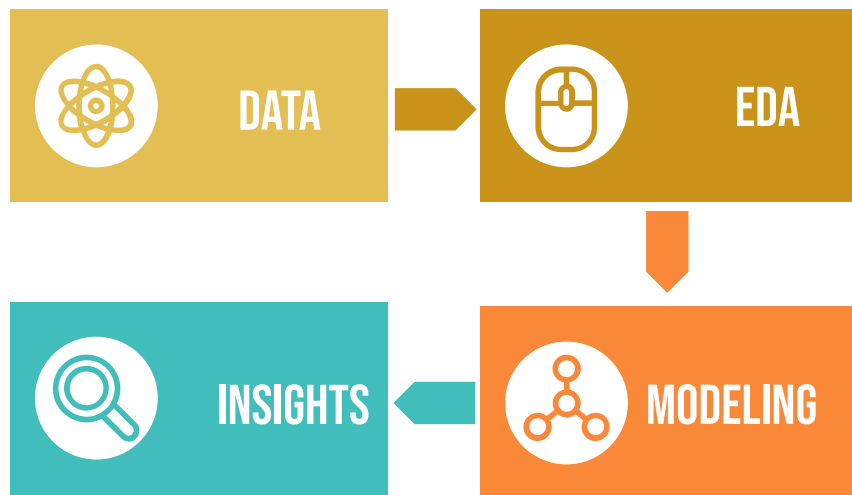
■ Category-wise revenue and margin analysis

BCG - Matrix, Monthly Trend

■ Developed reliability score model for advanced credit management and dynamic credit limit recommendation

Customer Reliability Score (0-100) Model , Tier-wise customer distribution based on reliability score, Dynamic Credit Limit Recommendation system

PROJECT METHODOLOGY & APPROACH



PRIMARY DATA COLLECTION

From shop's credit log, daily-summary and category-wise summary register



DATA CLEANING & EDA

Imputation, Standardization, Stats
Identified 22% revenue spike on weekend
Tracked the monthly cash to credit ratio trend.
Found Ramzan festival revenue spikes.



ANALYTICAL MODELING

KPIs, BCG Matrix, Reliability Score (0-100) and Tier-wise Customer Distribution (4 Tiers - Premium, Standard, Watchlist and Cash Only).

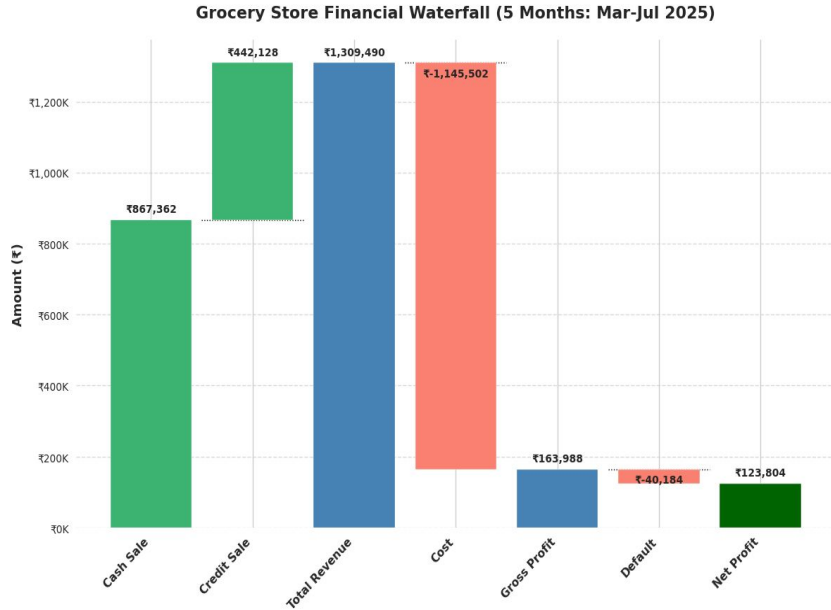


ACTIONABLE INSIGHTS AND RECOMMENDATIONS

Policy & Strategy SMART Recommendations

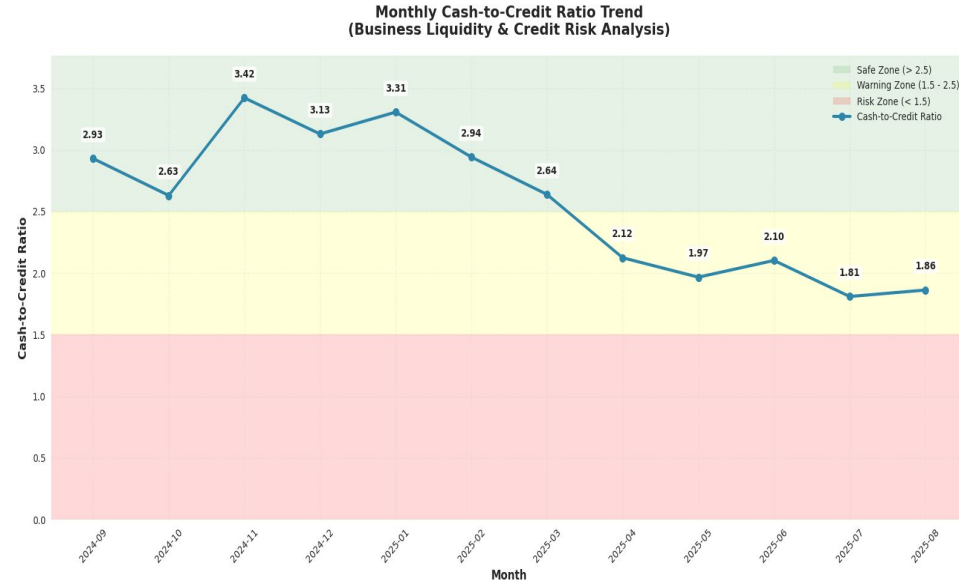


THE BUSINESS IS IN A "PROFIT LEAK" CRISIS



Financial WaterFall Chart

Key Insight: Shows that Rs 40,184 in defaults wiped out 24.5% of the Gross Profit.



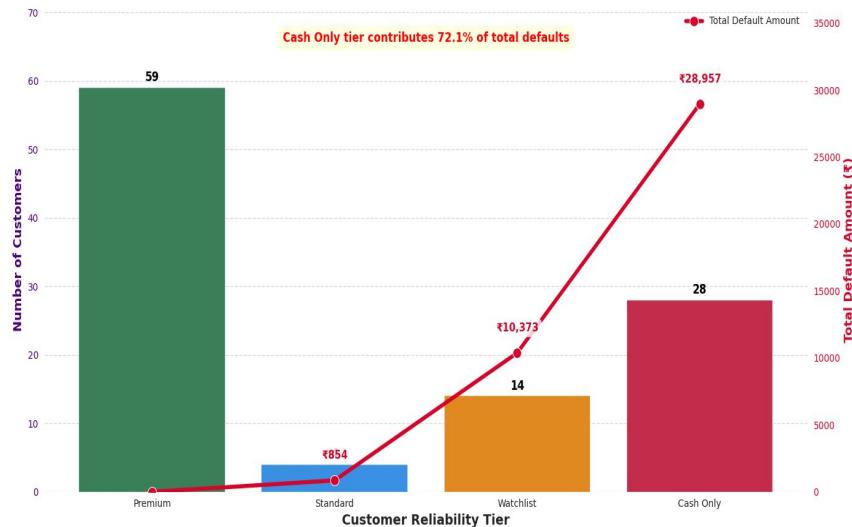
Monthly Cash to Credit Ratio Trend

Key Insight: Proves the problem is worsening, with the ratio falling from a "Safe" 3.42 to a "Warning" 1.86.

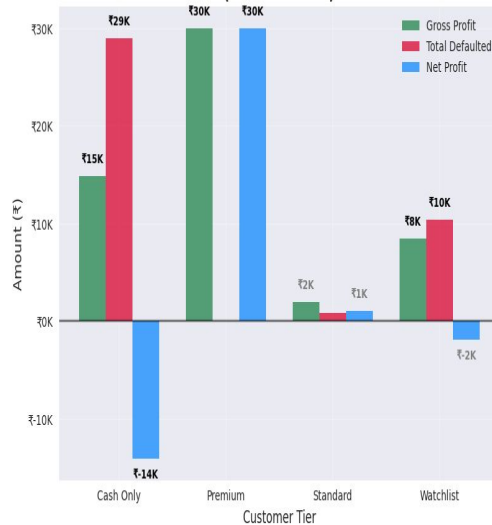
Problem: High credit defaults are destroying thin margins, and the cash flow situation is getting worse.

THE CREDIT PROBLEM & IMPACT

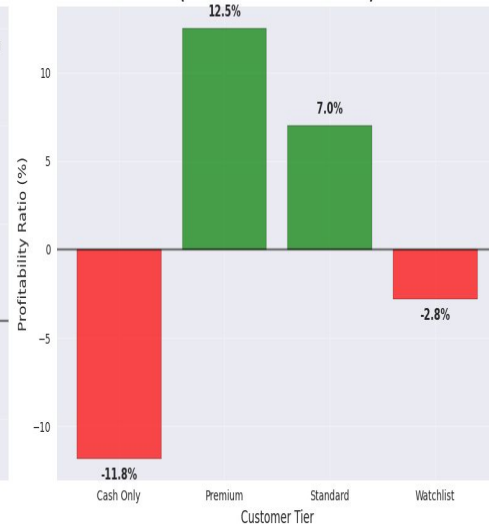
Customer Distribution vs Financial Default Impact
(Reliability Tier System)



Tier-wise Profitability Analysis: Profit vs Default vs Net Profit
(5 Months Data)



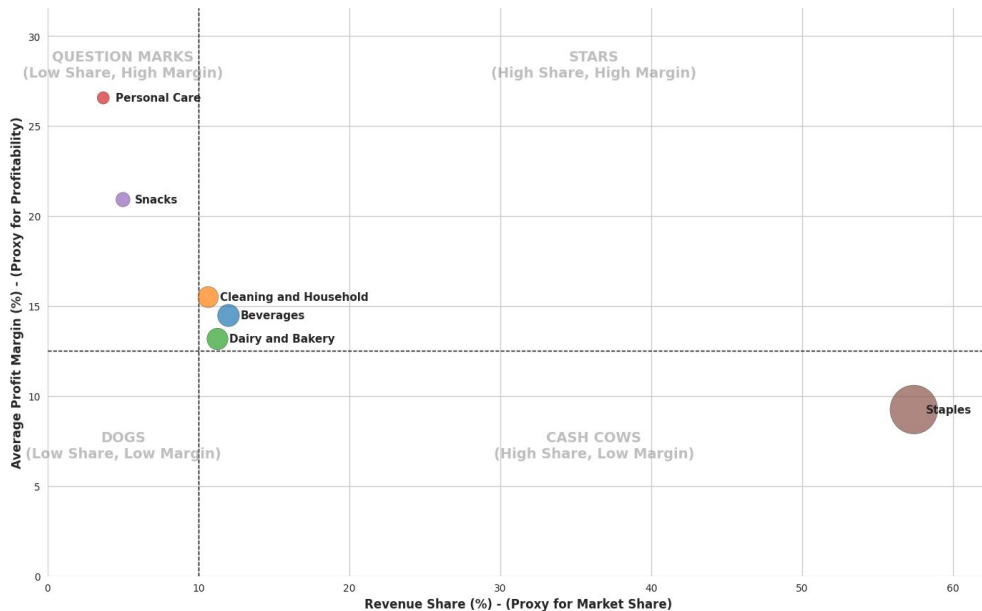
Tier-wise Profitability Ratio
(Net Profit as % of Revenue)



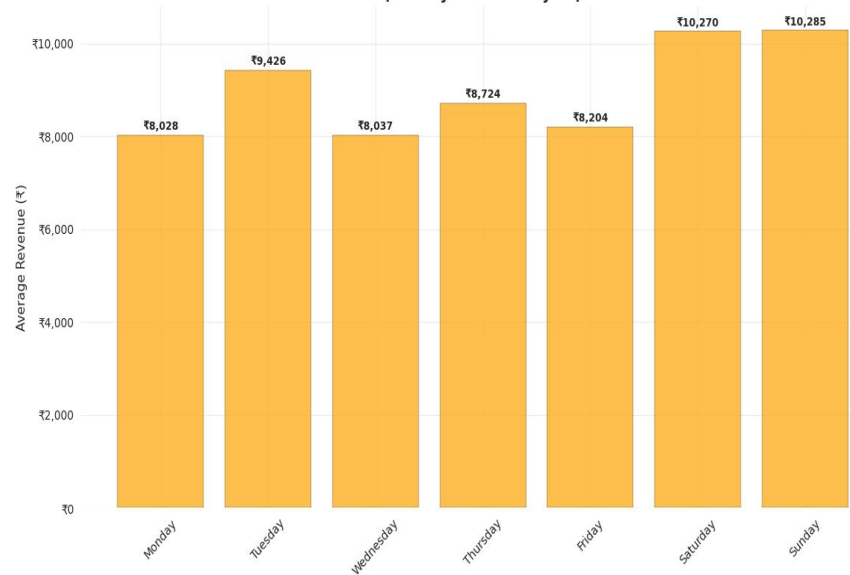
- The risk is highly concentrated. The "Premium" tier (59 customers) is responsible for Rs 0 in defaults.
- 98% of all financial losses (Rs 39,330) come from the "Watchlist" and "Cash Only" tiers.
- The "Cash Only" tier is dangerously unprofitable, operating at a -11.8% net margin.

THE CATEGORY "PROFIT PARADOX"

Category Strategy Matrix (Using 12.5% Avg. Margin)



Average Daily Revenue by Weekday (Weekly Business Cycle)



- The BCG Matrix reveals our second problem: a "Profit Paradox." We are a "Cash Cow" (Staples) business, focused on low-margin (9.25%) items. Our high-margin (20-26%) "Question Marks" (Snacks, Personal Care) are stagnant.
- We found a clear 22% revenue spike on Saturday and Sunday. This is our moment of peak customer traffic.

ACTIONABLE RECOMMENDATIONS

CRITICAL PRIORITY (1-30 DAYS): STOP THE BLEEDING

- **Eliminate Credit for "Cash Only" Tier:** Move all 28 customers (Score < 50) to a **Rs 0 limit**.
- **Launch Targeted Weekend Promotions:** Dedicate Sat/Sun to promoting **Snacks** and **Personal Care**.
- **Manage Transition:** Launch a 1-Month, 2% storewide cash discount to celebrate the "new, fair system" and prevent customer churn.

STRATEGIC PRIORITY (1-6 MONTHS): DRIVE PROFITABILITY

- **Implement **Score × 20** Limit:** Roll out the dynamic limit formula for all 77 remaining customers.
- **Execute Portfolio Shift:** Create **Staples + Snacks** bundles to improve the margin mix.

SUSTAINABILITY PRIORITY (6+ MONTHS): BUILD LOYALTY

- **Formalize Loyalty Program:** Offer payment flexibility and small discounts to reward "Premium" tier customers.

FINANCIAL IMPACT & CONCLUSION



Data-driven credit policy and strategic portfolio shift transforms the business.



1. Problem diagnosis: Credit defaults and sales mix
2. Quantified impact: Rs 53,700 increase in profit
3. Actionable strategies for sustainable growth

THANK YOU!

QUESTIONS?